# Valero Energy (VLO)

## Peak Margins Mask Asymmetric Downside Risk

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Valero Energy trades at an unsustainable premium following an unprecedented refining margin surge that culminated in second-quarter FY2026 earnings of $12.62 per share. While cash generation remains prolific and the Gulf Coast asset base demonstrates superior conversion economics, consensus capitalizes peak crack spreads into perpetuity while ignoring structural capacity rationalization on the West Coast. Our probability-weighted discounted cash flow framework indicates that normalized free cash flow margins cannot support the prevailing spot price of $434.10. We initiate coverage with a Hold rating and a blended price target of $337.02, representing -22.4% upside.

| HOLD | $337.02 | -22.4% | $434.10 |
|---|---|---|---|
| Hold — Valuation Concerns | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |
| INVESTMENT RATING | | | |

*The market remains transfixed by Valero's extraordinary quarterly margin spikes and elevated capital returns, projecting cyclically elevated refining margins into multi-year structural cash flow. Our analysis separates transitory crack spread windfalls from the underlying conversion economics, revealing that inevitable margin normalization will compress free cash flow generation across the FY2026 to FY2030 forecast window.*

## EXECUTIVE SUMMARY

Valero Energy stands as one of the largest US oil refiners, turning crude into gasoline, diesel, and jet fuel at plants across North America. The firm operates an expansive refining footprint alongside specialized operations in renewable diesel via Diamond Green Diesel and ethanol processing. Valero's operational model relies on superior crude slate flexibility, high complexity units, and substantial logistics integration across key regional corridors, particularly the US Gulf Coast. However, the business remains inherently cyclical, subjected to volatile gross refining cracks, feed-cost differentials, and policy-driven compliance mandates that dictate long-term returns on invested capital.

The recent evidentiary record illustrates an extraordinary operational divergence characterized by peak-cycle margin realization. In Q2 FY2026, net income exploded 421% year over year to $3.72 billion ($12.62 diluted EPS) on revenue of $44.5 billion, driven by refining margins nearly doubling to $23.62 per barrel. This followed a sharp recovery in Q1 FY2026, where net income reached $1.3 billion ($4.22 per share) as refining margins expanded to

$14.90 per barrel and renewable diesel operating income swung to a $139 million profit. Throughout FY2025, operating performance gained substantial momentum, moving from Q3 FY2025 adjusted EPS of $3.66 on a $13.14 per barrel margin to Q4 FY2025 net income of $1.1 billion with throughput reaching a record 3.1 million barrels per day. Yet beneath this headline expansion lies persistent geographic friction, highlighted by the idling of the Benicia facility and a 50% year-over-year collapse in West Coast throughput during Q2 FY2026.

From a balance sheet and capital allocation perspective, management has aggressively returned excess liquidity to equity holders while managing debt. Total shareholder distributions reached $2.6 billion in Q2 FY2026, comprising dividends and buybacks, lifting cash to $7.9 billion and reducing net debt-to-capitalization to 11%. This continued the pace established across prior periods, including $938 million returned in Q1 FY2026 at a 59% payout ratio, $1.4 billion returned in Q4 FY2025 at a 66% payout ratio alongside a 6% dividend hike to $1.20 per share, and $1.3 billion returned in Q3 FY2025 at a 78% payout ratio. For full-year FY2025, the company generated $5.03 billion in free cash flow on revenue of $122.7 billion, ending the period with $4.69 billion in cash, $11.7 billion in total debt, and $7.01 billion in net debt.

Despite this pristine balance sheet execution, current equity valuation has decoupled from long-term normalized fundamentals. At the reference spot price of $434.10, Valero commands an equity market capitalization of $125.0 billion, trading at 57.3 times FY2025 diluted EPS of $7.57 and 19.6 times FY2025 EBITDA of $6.72 billion. These multiples price in structural permanence for margins that our quantitative model indicates must mean-revert. With our probability-weighted valuation yielding $337.02 per share, risk-adjusted returns skew distinctly negative.

## OPERATIONAL SNAPSHOT

| $434.10 | $122.7B | $5.03B | 4.1% | 0.56 | $434.10 |
|---|---|---|---|---|---|
| REF. PRICE | FY2025 REVENUE | FY2025 FREE CASH FLOW | FCF MARGIN | EQUITY BETA | REF. CLOSE |

*Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.*

## THE MOAT IS STRUCTURAL AND CONCENTRATED

Valero's economic moat stems from deep physical scale, high refinery complexity, and strategic geographic concentration. Turning crude into gasoline, diesel, and jet fuel across North America requires heavy capital assets that cannot be replicated under modern regulatory environments. In regions such as the US Gulf Coast, Valero's interconnected processing facilities capture heavy and sour crude discounts while yielding high-value clean products. In Q1 FY2026, Gulf Coast operating income surged to $1.36 billion, highlighting the structural unit-cost advantages and access to tidewater export infrastructure that smaller merchant operators cannot match.

Pricing power in merchant refining is dictated by marginal cost curves rather than brand loyalty, meaning Valero's competitive durability relies on operational availability and energy efficiency. During Q4 FY2025, the company achieved its best year for mechanical availability, allowing throughput to touch a record 3.1 million barrels per day at 97% utilization. High operational reliability ensures that fixed operating expenses are amortized over maximized

volume runs, expanding gross margin realization relative to industry benchmarks. This was explicitly demonstrated in Q3 FY2025, when Valero's margin per barrel jumped 44% year over year against a 29% average increase for the broader US complex.

Regulatory barriers establish a dual dynamic for the franchise, serving simultaneously as an entry barrier and an operational hazard. Environmental oversight and capital requirements prevent the construction of greenfield refining capacity in the United States, granting incumbents an effective structural oligopoly. However, regional regulatory compliance can severely impair operational viability, as demonstrated by the West Coast operations. The idling of the Benicia asset, which incurred a $1.1 billion impairment earlier in FY2025 and $50 million in retention costs, followed by an additional $100 million in incremental depreciation in Q1 FY2026, illustrates that regulatory and operating friction can completely dismantle regional profitability.

The company's commercial flexibility is further amplified through its renewable fuels footprint. Valero has positioned itself across the energy transition by co-locating renewable diesel capacity alongside traditional refining assets. This segment has experienced severe margin volatility, swinging from a $28 million loss in Q3 FY2025 to a $92 million profit in Q4 FY2025, dropping to a $141 million loss before recovering to $139 million in operating profit in Q1 FY2026, and finally expanding to a $717 million profit in Q2 FY2026 as margins hit $2.52 per gallon. While providing valuable policy credits and product optionality, this operational layer introduces secondary commodity risks that dilute the pure-play benefits of high-complexity refining.

## VALUATION

### Three scenarios make the valuation range explicit

To establish a rigorous valuation range for Valero Energy, Cascadia Analytics employs an explicit multi-scenario discounted cash flow framework covering the forecast window from FY2026 to FY2030. The quantitative architecture models revenue progression from the FY2025 baseline of $122.7 billion and applies target free cash flow margins in the final forecast year derived from our proprietary cash flow bridge. Discounting is executed at a model-derived weighted average cost of capital of 8.91%, predicated on 287.9 million diluted shares, a model equity beta of 0.56, and a base-case terminal growth rate of 0.0% reflecting mature North American liquid fuel demand.

Our scenarios account for the wide divergence between peak refining upcycles and mid-cycle normalized cash generation. The distribution assigns a 50% probability to the base case, flanked by 25% probabilities to the bear and bull cases. This methodology explicitly captures the downside skew inherent in capitalizing an asset base at the zenith of an earnings explosion, where headline revenue expanded 49% in Q2 FY2026 to $44.5 billion alongside temporary $23.62 per barrel margins.

| SCENARIO | WEIGHT | REVENUE CAGR | TARGET FCF MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|
| Bear | 25% | -2.0% | 4.5% | $210.67 | -51.5% |
| Base | 50% | -0.3% | 6.7% | $331.99 | -23.5% |
| Bull | 25% | 2.0% | 8.7% | $473.42 | +9.1% |

### Bear $210.67

Refining margins normalize swiftly toward historical floors while renewable diesel margins compress under supply pressures. Revenue contracts at a -2.0% CAGR through FY2030, with target free cash flow margin dropping to 4.5% due to working capital drags, West Coast throughput losses from Benicia, and normalized product spreads. Equity value contracts -51.5% from the reference spot price.

### Base $331.99

Gulf Coast operational execution remains strong while crack spreads soften from record highs toward sustainable mid-cycle levels. Revenue trends at a -0.3% CAGR across the forecast window, supporting a normalized target free cash flow margin of 6.7% and terminal growth of 0.0%. This scenario yields an intrinsic value of $331.99, indicating -23.5% downside.

### Bull $473.42

Global product tightness persists, sustaining refining cracks near upper-quartile levels and maintaining Diamond Green Diesel margins above historical norms. Top-line revenue compounds at a 2.0% CAGR through FY2030 while target free cash flow margin expands to 8.7%, driven by record mechanical availability and disciplined capital reinvestment, delivering an equity value of $473.42 (+9.1% upside).

## VALUATION FRAMEWORK

### A live discount rate, not a static hurdle

Cascadia Analytics evaluates Valero Energy using a dynamic capital asset pricing model that establishes a discount rate of 8.91%. This cost of capital incorporates an equity beta of 0.56, capturing the company's defensive enterprise characteristics, low net leverage, and substantial cash balance of $7.9 billion recorded in Q2 FY2026. The 8.91% WACC serves as an objective hurdle rate, ensuring that cyclical earnings surges are not discounted at artificially depressed equity hurdles.

The market currently prices Valero at an implied cost of capital far lower than corporate risk warrants. By awarding the equity an enterprise value of 19.6 times FY2025 EBITDA and a price-to-earnings multiple of 57.3 times FY2025 diluted EPS of $7.57, investors are treating peak-cycle cash flows as if they were protected by utility-like regulatory returns. Our framework corrects for this duration mismatch by discounting explicit cash flow bridges over the FY2026 to FY2030 forecast window.

### FCF margin normalization is the engine

The primary driver of our valuation divergence is the structural normalization of free cash flow margins. In FY2025, Valero generated $5.03 billion in free cash flow on $122.7 billion of revenue, translating to an FCF margin of 4.1%. Operating margin stood at 3.5% and gross margin at 4.4%. While margin expansion was pronounced throughout early FY2026, culminating in Q2 net

#### KEY VALUATION PARAMETERS

| | |
|---|---|
| Forecast window | **FY2026 to FY2030** |
| Live WACC | **8.91% (2026-10-20)** |
| Terminal growth | **0.0%** |
| Equity beta | **0.56** |
| Diluted shares | **287.9 million** |

**HOLD**

**over $337.02**
**blended target**

income of $3.72 billion, these levels represent peak-cycle anomalies driven by a $23.62 per barrel refining margin and a $2.52 per gallon renewable diesel margin.

Our model models final forecast year FCF margins ranging from 4.5% in the bear scenario to 6.7% in the base scenario and 8.7% in the bull scenario. Cash conversion faces persistent operational frictions, such as the $303 million unfavorable working capital swing that impacted operating cash flow in Q1 FY2026 and recurring Benicia asset exit expenses. As refining crack spreads moderate, Valero's free cash flow conversion will realign with our 6.7% base-case target, producing an intrinsic value well below the current $434.10 market price.

### Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

**Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

## BUSINESS & SEGMENT DRIVERS

### Revenue prospects anchor on Refining Margin Normalization and Renewable Diesel Execution HOLD

Valero's operational baseline is anchored by its conventional refining business, which converts crude into gasoline, diesel, and jet fuel across North America. The refining segment's performance over the past four quarters reveals significant cyclicality. In Q3 FY2025, refining margin per barrel stood at $13.14 with 97% utilization. By Q4 FY2025, refining operating income reached $1.7 billion (up from $437 million in the prior year period) on a $13.61 per barrel margin. Margin capture expanded dramatically in FY2026, reaching $14.90 per barrel in Q1 as refining operating income tripled to $1.83 billion, before touching an extraordinary $23.62 per barrel in Q2 FY2026, nearly doubling year over year and delivering $3.72 billion in net income.

The second primary valuation driver centers on the renewable diesel operations conducted through Diamond Green Diesel. This business line has exhibited intense operational volatility. In Q3 FY2025, renewable diesel posted an operating loss of $28 million, down from $35 million in income, with sales volumes falling to 2.7 million gallons per day. Profitability recovered slightly to $92 million in Q4 FY2025 with margins at $0.82 per gallon, but deteriorated in the year-ago comparison against $141 million in losses. In Q1 FY2026, the segment generated $139 million in operating income as margins rose to $1.11 per gallon, before experiencing an explosive expansion in Q2 FY2026 to

$717 million in profit on margins of $2.52 per gallon (up from $0.22 per gallon). Maintaining these high-margin renewable contributions remains critical to sustaining cash conversion.

The third key segment dynamic involves ethanol processing and geographic restructuring. Ethanol operating income provided secondary support in Q4 FY2025, recovering to $117 million. However, regional execution has faced severe headwinds on the West Coast. The permanent idling of the Benicia refinery removed substantial capacity from Valero's operational footprint, precipitating a 50% year-over-year collapse in West Coast throughput in Q2 FY2026. This followed a $118 million adjusted operating loss in the West Coast region during Q1 FY2026, driven in part by $100 million in incremental Benicia depreciation and $50 million in retention costs, demonstrating that geographic portfolio degradation remains a tangible drag on core earnings.

**What to monitor**

- **Refining margin sustainability:** Tracking quarterly realization relative to the $23.62 per barrel peak achieved in Q2 FY2026 versus the $13.14 to $14.90 range observed across prior quarters.
- **Diamond Green Diesel margin capture:** Monitoring whether renewable diesel margin per gallon can remain above $1.11 to $2.52 or revert to the $0.22 to $0.82 levels seen during down periods.
- **West Coast operating losses and exit costs:** Assessing further financial leakage following the $1.1B impairment, $100M incremental depreciation, and $118M regional operating loss.
- **Working capital dynamics:** Monitoring cash conversion efficiency after the $303M unfavorable working capital swing observed in Q1 FY2026 that disconnected net income from operating cash flow.

| -5.5% | 4.4% | 3.5% | 4.1% | $7.01B | 9.9% |
|---|---|---|---|---|---|
| FY2025 REVENUE GROWTH | GROSS MARGIN | OPERATING MARGIN | FCF MARGIN | NET DEBT | RETURN ON EQUITY |

| METRIC | FY2025 (AS REPORTED) |
|---|---|
| Revenue | $122.7B |
| Gross Profit | $5.37B |
| EBIT | $4.31B |
| Net Income | $2.35B |
| EBITDA | $6.72B |
| Free Cash Flow | $5.03B |
| Diluted EPS | $7.57 |
| ROE | 9.9% |

# RISK & MOAT MATRIX

## The bear case

### SHARE EROSION

Capacity rationalization such as the idling of Benicia reduces overall volume scale, evidenced by West Coast throughput collapsing 50% year over year in Q2 FY2026. Competitors with intact regional processing footprints may capture stranded merchant demand while Valero absorbs asset exit overhead.

### M&A DIGESTION

Complex asset reorganizations carry lingering balance sheet and operational frictions that impair operating income. The Benicia exit triggered a $1.1 billion impairment in FY2025, followed by $50 million in retention costs and $100 million in incremental depreciation in Q1 FY2026.

### REGULATORY AND PRICING SCRUTINY

Regional environmental regulations impose heavy financial penalties on conventional refining assets, as seen in the West Coast posting a $118 million adjusted operating loss in Q1 FY2026. Further policy tightening could accelerate asset write-downs and constrain conversion economics across other North American operating regions.

### TECHNOLOGY DISRUPTION

Renewable diesel economics demonstrate extreme volatility based on subsidy regimes and feedstock pricing dynamics. Segment earnings swung violently from a $141 million loss to a $717 million profit, highlighting that alternative fuel technologies do not offer stable cash floor protection.

### REINVESTMENT TREADMILL

Maintaining high mechanical availability requires continuous capital allocation to prevent unplanned outages and throughput degradation. Total debt of $11.7 billion and net debt of $7.01 billion from FY2025 constrain multi-year flexibility if refining crack spreads compress back to historical medians.

### WACC AND DURATION SENSITIVITY

At an 8.91% cost of capital and 0.0% terminal growth, terminal value constitutes a substantial portion of enterprise valuation. Any upward adjustment in sovereign yields or market risk premiums would severely compress Valero's equity multiple from its current 57.3 times FY2025 EPS.

## The strengths

### OLIGOPOLY POSITION

As one of the largest US refiners turning crude into transportation fuels, Valero possesses irreplaceable complex refining infrastructure across North America. Greenfield development remains economically and

### FCF COMPOUNDING

Valero converts strong crack environments into aggressive shareholder remuneration, returning $2.6 billion to shareholders in Q2 FY2026 alone. Pristine capital allocation is reinforced by a

### GEOGRAPHIC DURABILITY

The core Gulf Coast refining complex delivers world-class conversion economics, generating $1.36 billion in operating income during Q1 FY2026. Direct pipeline connectivity and

### PIPELINE OPTIONALITY

Diamond Green Diesel integration provides high-margin optionality during favorable biofuel credit environments, as demonstrated by the $717 million profit recorded in Q2 FY2026. Co-located

regulatorily prohibited, shielding existing conversion assets from new competitive supply entrants.

conservative balance sheet that finished Q2 FY2026 with $7.9 billion in cash and an 11% net debt-to-capitalization ratio.

deepwater export access enable optimal crude selection and international clean product placement.

logistics and scale permit rapid shifts between feedstock slates to optimize renewable fuel margins.

### The bottom line on risk and reward

Valero Energy presents an exemplary operational franchise that is currently impaired by an unsupportable market valuation. The market capitalization of $125.0 billion and spot price of $434.10 reflect an uncritical extrapolation of peak refining cracks, ignoring the cyclical reality that gross refining margins nearly doubling to $23.62 per barrel is an unsustainable condition. Even after factoring in excellent mechanical availability, robust Gulf Coast economics, and a 6% dividend hike to $1.20 per share, the enterprise cannot escape cyclical mean reversion.

Our quantitative valuation framework explicitly weights these operational paths, balancing a Bear target of $210.67 (-51.5%), a Base target of $331.99 (-23.5%), and a Bull target of $473.42 (+9.1%). The resulting probability-weighted blended target of $337.02 indicates that the equity is overvalued by 22.4% relative to fundamental cash-generating capability. With risk heavily skewed to the downside, we advise institutional investors to maintain a disciplined stance.

We reiterate our Hold rating with a clear valuation bias. While the company's $7.9 billion cash balance and strong execution insulate it from near-term balance sheet distress, capital allocation at current pricing offers an unfavorable risk-reward profile. Investors should wait for valuation multiples to compress toward normalized historical cash flow multiples before deploying incremental equity capital.

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## FRANCHISE DEEP DIVE

### Conventional Refining: North American Liquid Fuels Conversion Engine

Valero's primary operating franchise centers on its premier conventional refining network, which processes complex crude slates into gasoline, diesel, and jet fuel across plants in North America. The franchise's commercial dominance relies heavily on its Gulf Coast asset base, which serves as the operational anchor of the enterprise. By utilizing sophisticated secondary conversion units, Valero processes discounted sour and heavy feedstocks into premium clean transportation fuels, generating structural margin premiums over less sophisticated merchant refiners.

The operational trajectory of this core business over the past four quarters reflects both the immense earnings leverage of the asset base and its extreme cyclical sensitivity. In Q3 FY2025, conventional refining operated at 97% utilization, setting a record throughput level while delivering a 44% increase in margin per barrel to $13.14. This operational momentum carried into Q4 FY2025, where throughput reached 3.1 million barrels per day, driving adjusted refining operating income to $1.73 billion as mechanical availability reached peak performance levels.

During the first half of FY2026, the refining segment experienced historic profitability. In Q1 FY2026, core refining operating income tripled to $1.83 billion, supported by $1.36 billion from the Gulf Coast complex as margins expanded to $14.90 per barrel. This set the stage for the historic Q2 FY2026 surge, where refining margins reached $23.62 per barrel, powering enterprise revenue to $44.5 billion (up 49% YoY) and net income to $3.72 billion ($12.62 EPS). However, geographic friction remains evident, as West Coast operations suffered operational losses and capacity contraction following the idling of the Benicia asset.

**What the recent record shows**

- Refining margin per barrel expanded from $13.14 in Q3 FY2025 to $13.61 in Q4 FY2025, $14.90 in Q1 FY2026, and peaked at $23.62 in Q2 FY2026.
- Refining operating income surged to $1.7 billion in Q4 FY2025 and $1.83 billion in Q1 FY2026, driven by a record 3.1 million barrels per day throughput and strong Gulf Coast performance.
- West Coast operations experienced structural degradation, marked by a $118 million adjusted loss in Q1 FY2026, a $1.1 billion impairment, and a 50% throughput collapse in Q2 FY2026 following the Benicia idling.
- Aggressive capital allocation distributed peak refining cash flows, returning $1.3 billion in Q3 FY2025, $1.4 billion in Q4 FY2025, $938 million in Q1 FY2026, and $2.6 billion in Q2 FY2026.

**Our read:** Valero's core conventional refining system represents an elite conversion asset capable of capturing massive earnings during crack spread spikes. However, with margins at $23.62 per barrel sitting at historically rare levels and the West Coast asset footprint actively contracting, earnings power has reached a cyclical summit. Subsequent mean reversion in refining crack spreads will directly pressure free cash flow generation, fully justifying our Hold rating and -22.4% valuation downside.

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